

You open up your wallet and put \$500 into the machines. It's a lot of money, but you're willing to take a chance.

You're not just any ordinary gambler at the casino, though — you've done your research. You know the return on gambling is low. So low that you're aware the likelihood of making a return ranges from one in 5000 to one in 34 million.

After all, slot machines work with a random number generator inside every machine, cycling through millions of numbers and options.

You also know that in a casino, each time you play a game, the statistical probability is that you will not win. In fact, the more you play, the more the statistics work against you and the higher your chance of walking out of the casino with a loss.

Now, imagine you had a twin sister, Anu. Anu decides gambling in the casino isn't for her, and decides to look into stock market investing. She chooses to take \$500 and invest in a Vanguard Total Stock Market Index Fund ETF (VTI), a fund (or basket) that is made up of every public company in the US. Anu now gets to own a small piece of everything from Apple to Zoom to some of the casinos themselves.

If Anu did this every month for 20 years starting from 2002, she would have likely made a 400-plus per cent return on her money.

If Priya returned to the slot machine with \$500 a month every month for 20 years, the odds of her making anywhere near that return, let alone a positive return, is very slim.

Investing and gambling both involve risk, but that's where their similarities end. Gambling is a short-lived activity that involves chance, while investing involves choice.

When you're gambling your money, you don't control a lot of things. You can't research the dice beforehand, you can't read its company statements. You can't decide that the dice have a strong future outlook. It's all based on chance and speculation. And gamblers have fewer ways to mitigate risk compared to investors. If it comes down to odds, the odds are in your favour as an investor.